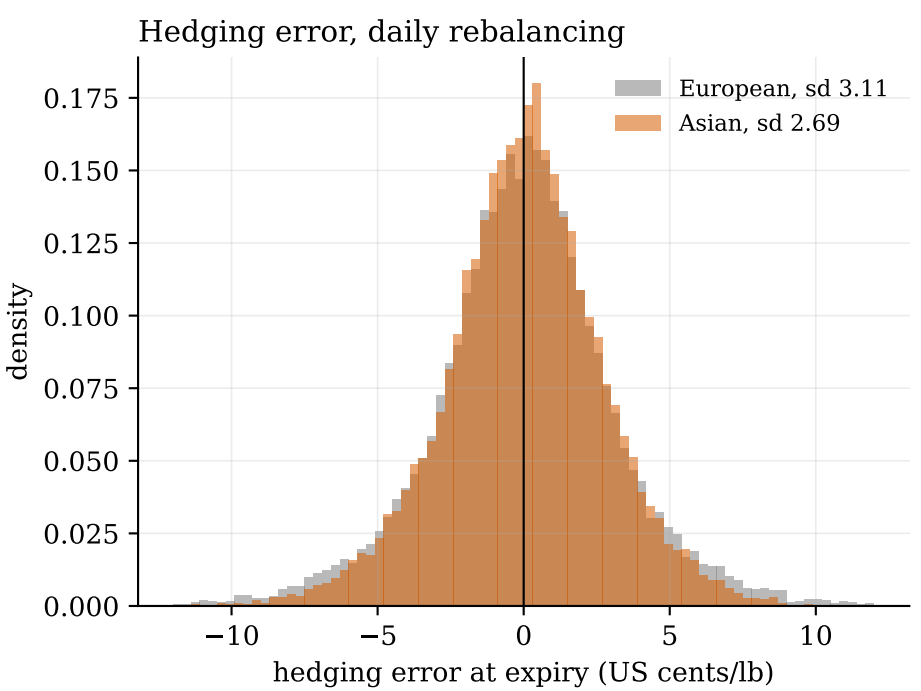
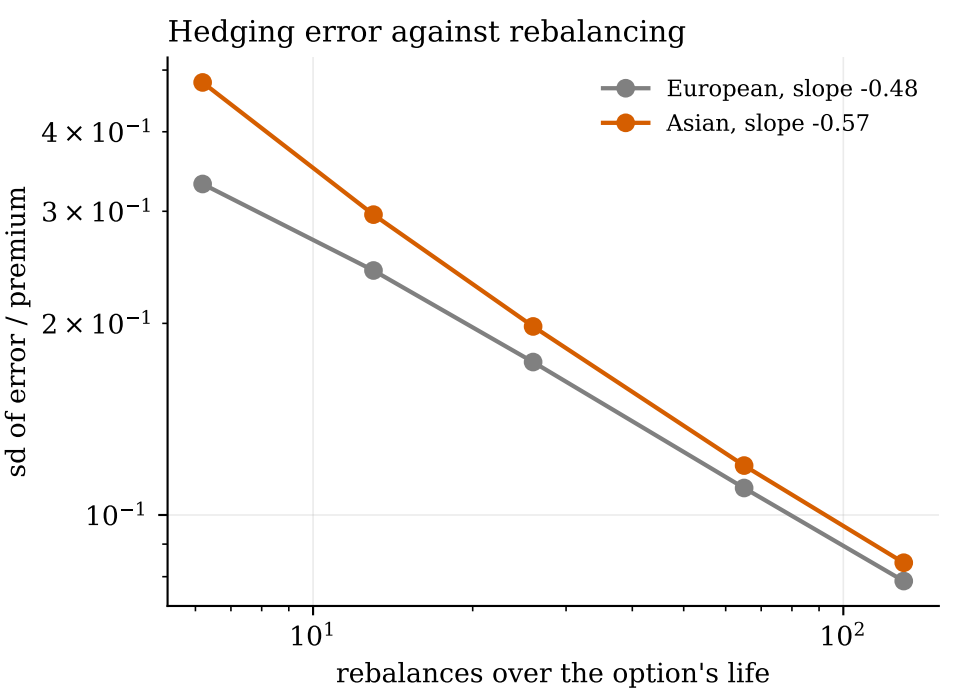

Hedging error, daily rebalancing
European, sd 3.11
Asian, sd 2.69
density
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
−10
−5
0
5
10
hedging error at expiry (US cents/lb)


Hedging error against rebalancing
European, slope -0.48
Asian, slope -0.57
sd of error / premium
$4 \times 10^{-1}$
$3 \times 10^{-1}$
$2 \times 10^{-1}$
$10^{-1}$
$10^{1}$
$10^{2}$
rebalances over the option's life